Nepal relations as China sees Nepal as an entry point into South-Asia.

In 2006, anti-monarchy sentiment became strong. G.P. Koirala became the PM and the Parliament curtailed the power of the King and his legal immunity was removed and he was brought under the ambit of taxation. At the same time, a Comprehensive Peace Agreement was struck that ended the 10 year Maoist conflict in Nepal. However, the future of the Maoists remained uncertain. In 2007, there were some visits from both sides. Nepalese Foreign Minister Pradhan visited India from 6–9 December and participated in the SAARC Council of Ministers Meeting. Indian Foreign Secretary, Shivshankar Mennon visited Nepal in September 2007. In October 2007, Shyam Saran, Special Envoy of PM visited Nepal. However, around this time anti-Indian sentiments were high in Nepal. There were massive anti-Indian demonstrations near the Indo-Nepal border gate, and they agitated against the suppressive and land expansionist policies of India.

In 2008, there was change in the political scenario in Nepal. King was removed and Nepal became a Republic. Prachanda became the PM and Ram Baran Yadav, a Madhesi, became the first President of Nepal. Prachanda soon started developing closeness with China. He visited China and both sides arrived at a large number of agreements on various sectors like hydro-power, agriculture, tourism and infrastructure in Nepal. Prachanda visited India soon thereafter, but without much effect followed by a visit by Pranab Mukherjee former Minister of External Affairs to Nepal in November 2008. However, Prachanda had to resign on 4 May 2009 after his attempt to sack the army chief, General Rookmangud Katawal, was opposed by President Ram Baran Yadav. Thereafter, Madhav Kumar Nepal became the PM of Nepal. There have been efforts on both the sides to improve relations. Indian Foreign Secretary visited Nepal in February 2009. In August 2009, Nepalese Foreign Minister Sujata Koirala was on an official visit to India in order to bridge the widening gap between the two neighbours. She had tried to downplay the growing Chinese influence and underscored the necessity of increasing cooperation with India for collaborating on more projects and also cooperation on development of water resources, bilateral